

THE WISDOM OF CROWDS

Stock Market Reaction to the Challenger Disaster

In [part II](#) of Chapter One, Surowiecki discusses the stock market reaction to the Space Shuttle Challenger Disaster. Here is the live CNN broadcast of the shuttle launch.



Here is the extract from the *The Wisdom of Crowds* that deals with the stock market reaction to the Challenger disaster.

At 11:38 am on January 28, 1986, the space shuttle Challenger lifted off from its launch pad at Cape Canaveral. Seventy-four seconds later, it was ten miles high and rising. Then it blew up. The launch was televised, so news of the accident spread quickly. Eight minutes after the explosion, the first story hit the Dow Jones News Wire. The stock market did not pause to mourn. Within minutes, investors started dumping the stocks of the four major contractors who had participated in the Challenger launch: Rockwell International, which built the shuttle and its main engines; Lockheed, which managed ground support; Martin Marietta, which manufactured the ship's external fuel tank; and Morton Thiokol, which built the solid-fuel booster rocket.

Twenty-one minutes after the explosion, Lockheed's stock was down 5 percent, Martin Marietta's was down 3 percent, and Rockwell was down 6 percent. Morton Thiokol's stock was hit hardest of all. As the finance professors Michael T. Maloney and J. Harold Mulherin report in their fascinating study of the market's reaction to the Challenger disaster, so many investors were trying to sell Thiokol stock and so few people were interested in buying it that a trading halt was called almost immediately. When the stock started trading again, almost an hour after the explosion, it was down 6 percent. By the end of the day, its decline had almost doubled, so that at market close, Thiokol's stock was down nearly 12 percent. By contrast, the stocks of the three other firms started to creep back up, and by the end of the day their value had fallen only around 3 percent.

Regardless, the market was right. Six months after the explosion, the Presidential Commission on the Challenger revealed that the O-ring seals on the booster rockets made by Thiokol—seals that were supposed to prevent hot exhaust gases from escaping—became less resilient in cold weather, creating gaps that allowed the gases to leak out. (The physicist Richard Feynman famously demonstrated this at a congressional hearing by dropping an O-ring in a glass of ice water. When he pulled it out, the drop in temperature had made it brittle.)

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